

WCA Alpha — 1X2 Forecast vs Monte-Carlo Advancement

Reconciliation of the live Polymarket knockout book · 2026-07-01

EXECUTIVE FINDING

The 1X2 match forecast and the Monte-Carlo advancement model are the SAME engine. The MC 'to advance' probability = 1X2 home-win + the ET/penalties share of the draw mass; there is no independent advancement model that can beat an independent 1X2 model. A small negative 1X2 edge therefore implies a small negative advancement edge — they cannot diverge in expectation.

Across all 12 live R32 ties the two agree within ~5pp (table, p.3):

France 1X2->adv 80%% vs MC 76%% Argentina 89%% vs 91%% Belgium 61%% vs 67%%.

WHY THE KNOCKOUT BOOK LOOKS 'SUCCESSFUL'

Open advancement book value 1441, *netmark* – *to* – *market*P&L+203.

That gain is almost entirely FAVOURITE beta + mark-to-market convergence:

favourites (entry >=50c): \$+204

underdogs (entry <50c): \$-2

Gains are France (51->78c), France QF (67->90c), Colombia (60->80c), Brazil (50->64c) — favourites shortening as expected results landed, not realised edge. Resolved advancement bets are NET NEGATIVE (\$-61): Iran R16, South Korea R16 (longshots) — consistent with the standing 'good calibrator / bad longshot selector' finding.

VERDICT

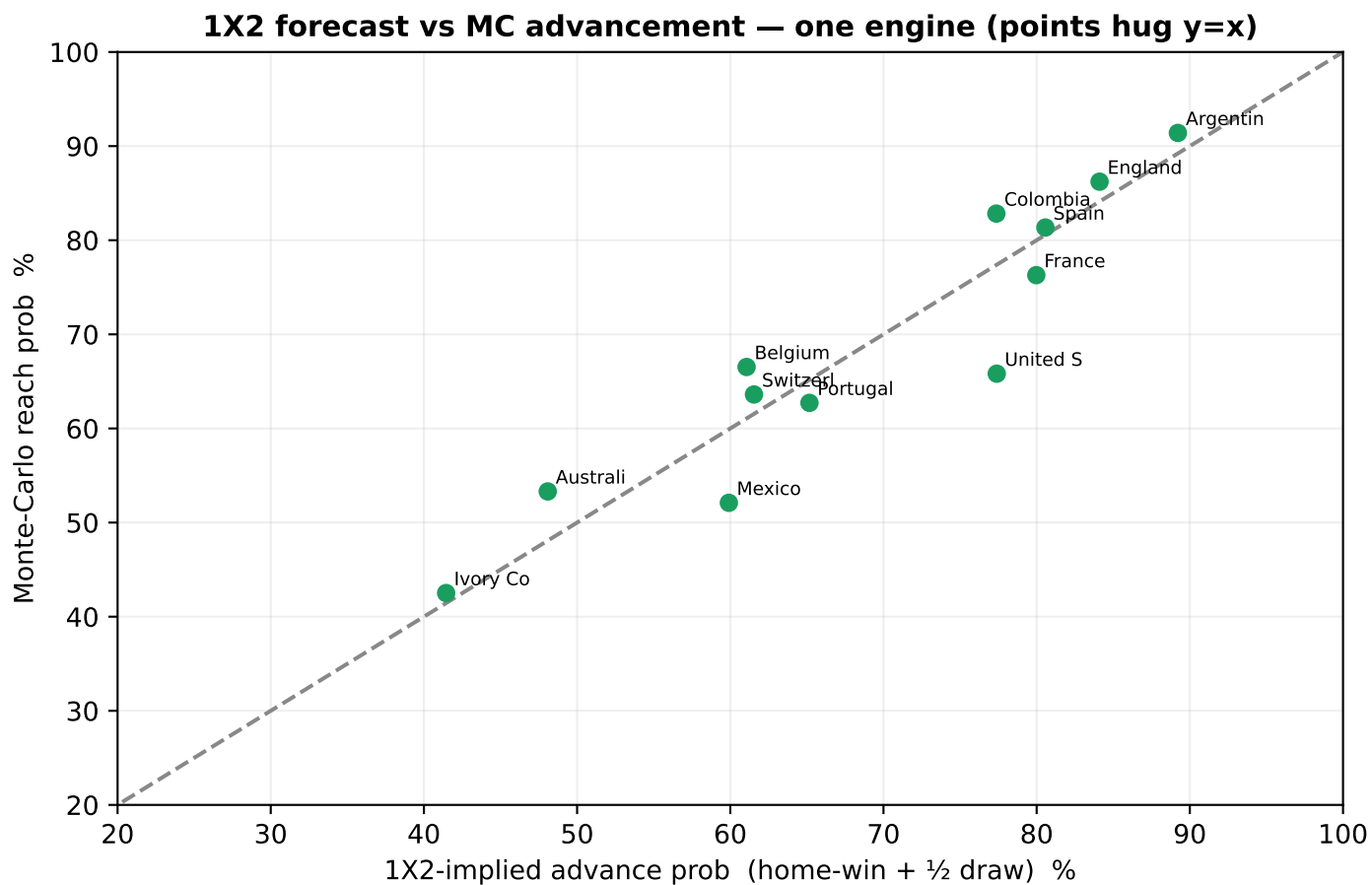
'Small negative 1X2 edge' and 'profitable knockout advancement so far' are NOT in tension. Same model; the profit is (a) favourite exposure in a chalk-heavy R32, (b) mark-to-market as prices converged, (c) small-sample variance at $n_{\text{eff}} \sim 1$ tournament. Backing favourites that win is not evidence of alpha; the honest scorecard is CLV vs the closing line, not MTM P&L. Keep sizing at the capped 1/4-Kelly, prefer favourite to-advance where model ~ market, and avoid longshot advancement (the losing bucket).

Open knockout advancement book vs Monte-Carlo reach prob

team	stage	entry	cur	MC prob	pipe edge	MTM P&L
france	SF	51¢	78¢	n/a	n/a	\$+109
brazil	QF	50¢	64¢	n/a	n/a	\$+46
france	QF	67¢	90¢	n/a	n/a	\$+51
belgium	R16	58¢	58¢	n/a	n/a	\$+0
usa	R16	83¢	83¢	n/a	n/a	\$+0
australia	R16	45¢	44¢	n/a	n/a	\$-2
colombia	R16	60¢	80¢	n/a	n/a	\$+22
argentina	QF	80¢	84¢	n/a	n/a	\$+3
portugal	QF	52¢	30¢	n/a	n/a	\$-28
TOTAL						\$+203

Favourites@entry \$+204 | Underdogs@entry \$-2 | Resolved (settled) \$-61

MTM = mark-to-market on OPEN positions (unrealised); not settled P&L.



tie	1X2 H	draw	1X2 A	1X2→adv	MC reach
United States vs Bosnia	67%	20%	13%	77%	66%
Ivory Coast vs Norway	27%	29%	44%	41%	43%
France vs Sweden	71%	19%	11%	80%	76%
Australia vs Egypt	32%	33%	35%	48%	53%
Argentina vs Cape Verde	83%	12%	5%	89%	91%
Mexico vs Ecuador	44%	31%	24%	60%	52%
England vs DR Congo	75%	18%	7%	84%	86%
Belgium vs Senegal	47%	29%	25%	61%	67%
Spain vs Austria	71%	19%	10%	81%	81%
Portugal vs Croatia	51%	28%	21%	65%	63%
Switzerland vs Algeria	47%	29%	24%	62%	64%
Colombia vs Ghana	66%	23%	11%	77%	83%